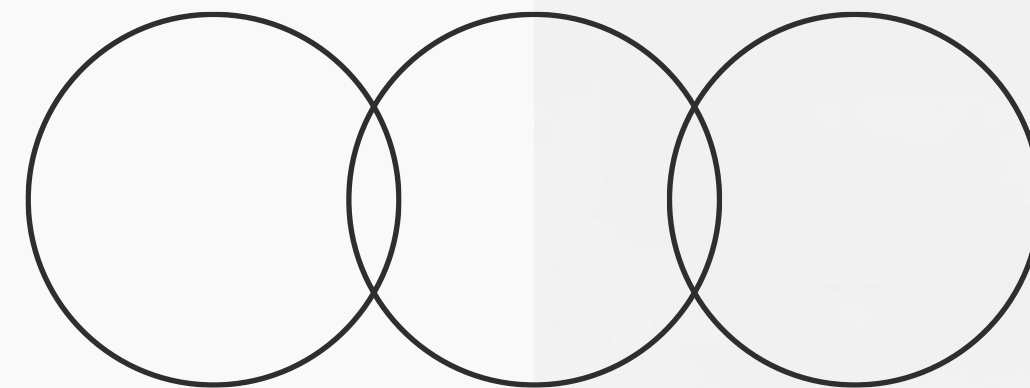


Why Do States Abandon the Inheritance Tax?

MSc Applied Social Data Science
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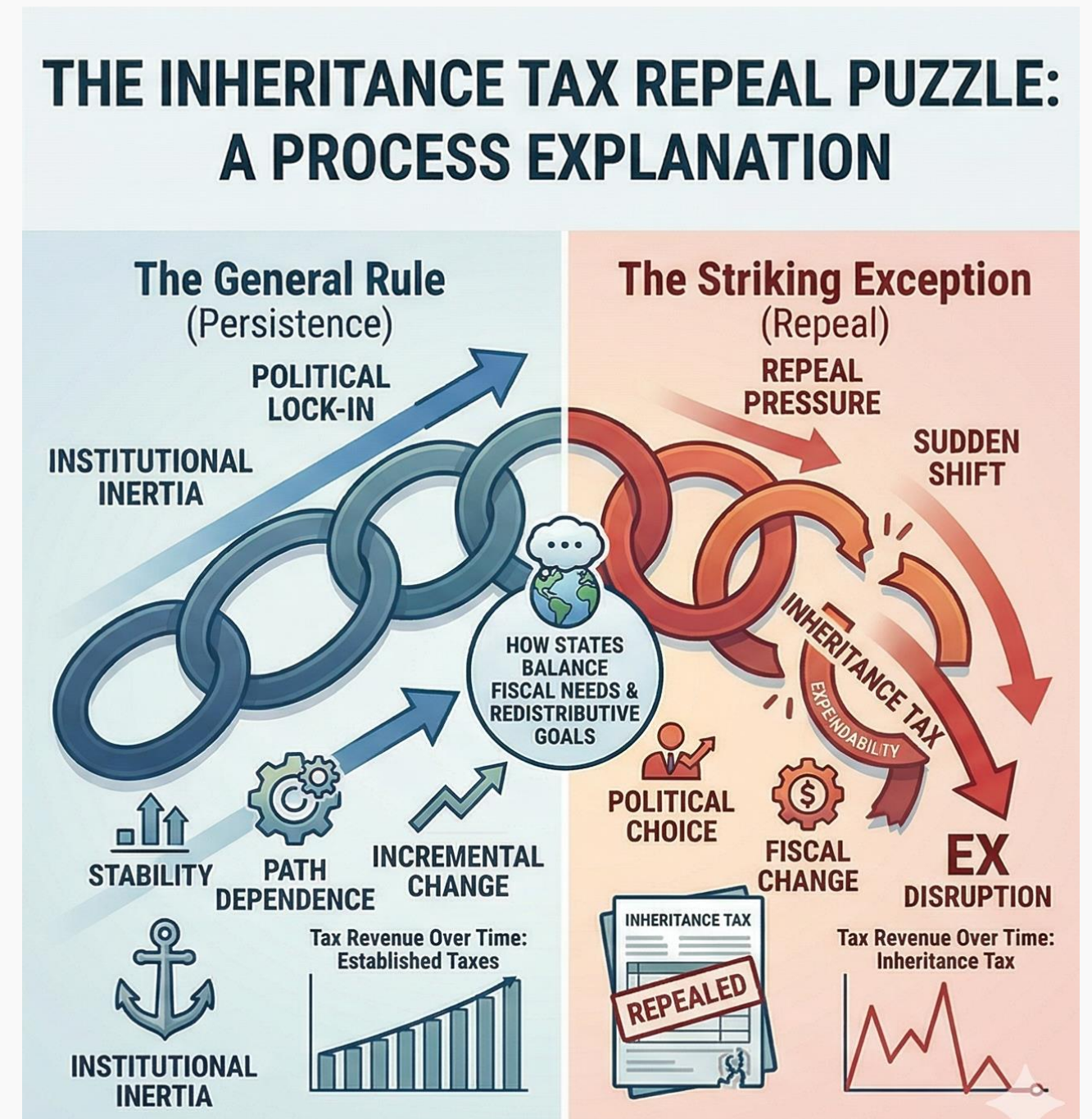


The Puzzle

Why Do States Repeal Inheritance Tax?

- Policies usually persist after adoption
- But inheritance taxes are often repealed
- Important tool for redistribution

Why does this happen?

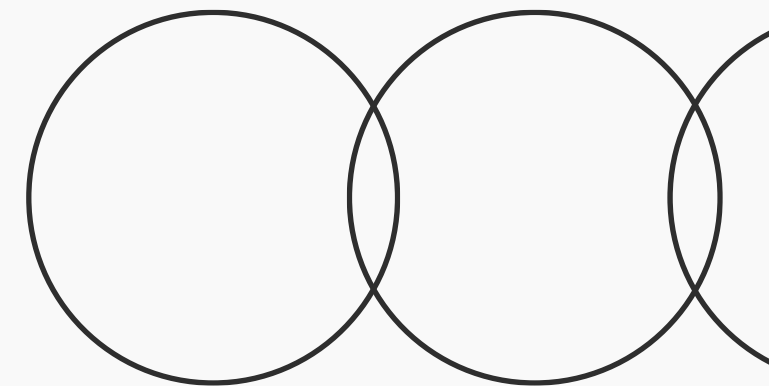


Original Argument

Fiscal Structure Matters More Than Ideology

1. More efficient taxes → inheritance tax becomes redundant
2. Democracy → protects redistribution

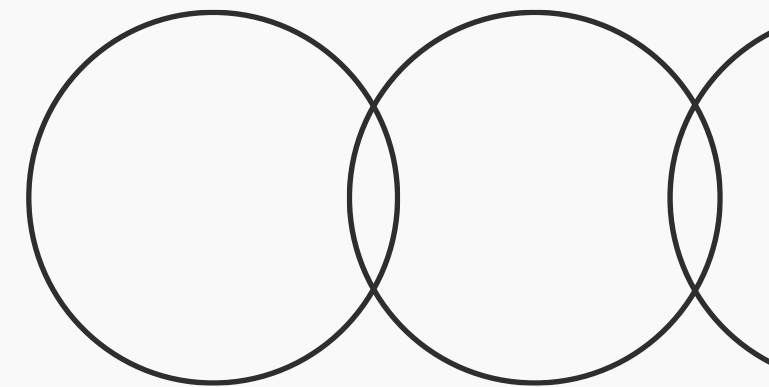
Fiscal role drives policy outcomes



Hypotheses

Two Key Hypotheses

- H1: Modern taxes $\uparrow \rightarrow$ repeal $\uparrow$
- H2: Democracy $\rightarrow$ repeal $\downarrow$



Data and Method

- 87 countries (1759–2015)
- BTSCS(Binary Time-Series Cross-Section) dataset

```
glm(y ~ other_tax + democracy + t + t2 + t3,  
    data = merge_full_2, family=binomial(link="logit"))
```

- Logistic regression
- Time polynomial (t, t2, t3)

Table A2: Inheritance Tax Non-Repealers. Sorted by Year of Introduction.

Country	Year INH Intro
Hungary	1759
Denmark	1792
Iceland	1792
Spain	1792
United Kingdom	1796
France	1798
Luxembourg	1798
Brazil	1809
Belgium	1817
Colombia	1821
Ecuador	1821
Venezuela	1821
Portugal	1838
Guatemala	1874
Bolivia	1880
Tunisia	1893
Greece	1898
Japan	1905
Germany	1906
Jamaica	1916
Philippines	1916
United States	1916
Finland	1919
Poland	1920
Ireland	1922
South Africa	1922
Zimbabwe	1922
Turkey	1926
Angola	1931
Lesotho	1935
Iran	1937
Dominican Republic	1938
Botswana	1941
Malawi	1946
Rep. Korea	1948
Syria	1952
Nicaragua	1962
Ghana	1965
Equatorial Guinea	1966
Taiwan	1973
Slovenia	1988
Croatia	1993
Macedonia	1993
Lithuania	1996

Online Appendix

Table A1: Inheritance Tax Repealers. Sorted by Year of Repeal.

Country	Year INH Intro	Year INH Repeal
Chile	1878	1890
Thailand	1933	1944
Romania	1877	1947
China	1939	1949
Cuba	1831	1959
Mexico	1893	1962
Canada	1941	1972
Uruguay	1857	1974
Argentina	1801	1976
Australia	1914	1978
Pakistan	1950	1979
Israel	1949	1981
Bangladesh	1950	1982
Kenya	1964	1982
Panama	1821	1985
India	1953	1985
Belize	1927	1991
Malaysia	1941	1991
Paraguay	1953	1991
El Salvador	1841	1992
New Zealand	1866	1992
Malta	1918	1992
Fiji	1966	1992
Nigeria	1979	1994
Barbados	1895	1995
Tanzania	1919	1995
Egypt	1938	1996
Zambia	1938	1996
Iraq	1959	1996
Honduras	1938	1998
Trinidad and Tobago	1888	2000
Cyprus	1942	2000
Italy	1862	2002
Sweden	1884	2004
Slovak Republic	1992	2004
Russian Federation	1882	2006
Austria	1759	2008
Singapore	1907	2008
Sri Lanka	1919	2013
Brunei Darussalam	1950	2013
Norway	1792	2014
Czech Republic	1992	2014

Key Results

Key Findings Support the Theory

Major Modern Taxes	1.576*** (0.418)	1.546*** (0.417)	1.098** (0.453)
Democracy	-0.779** (0.356)	-0.763** (0.359)	-1.197*** (0.387)

- Modern taxes → increase repeal probability
- Democracy → reduces repeal probability
- Fiscal structure is central

Table 1: Regression Results for Inheritance Tax Repeal

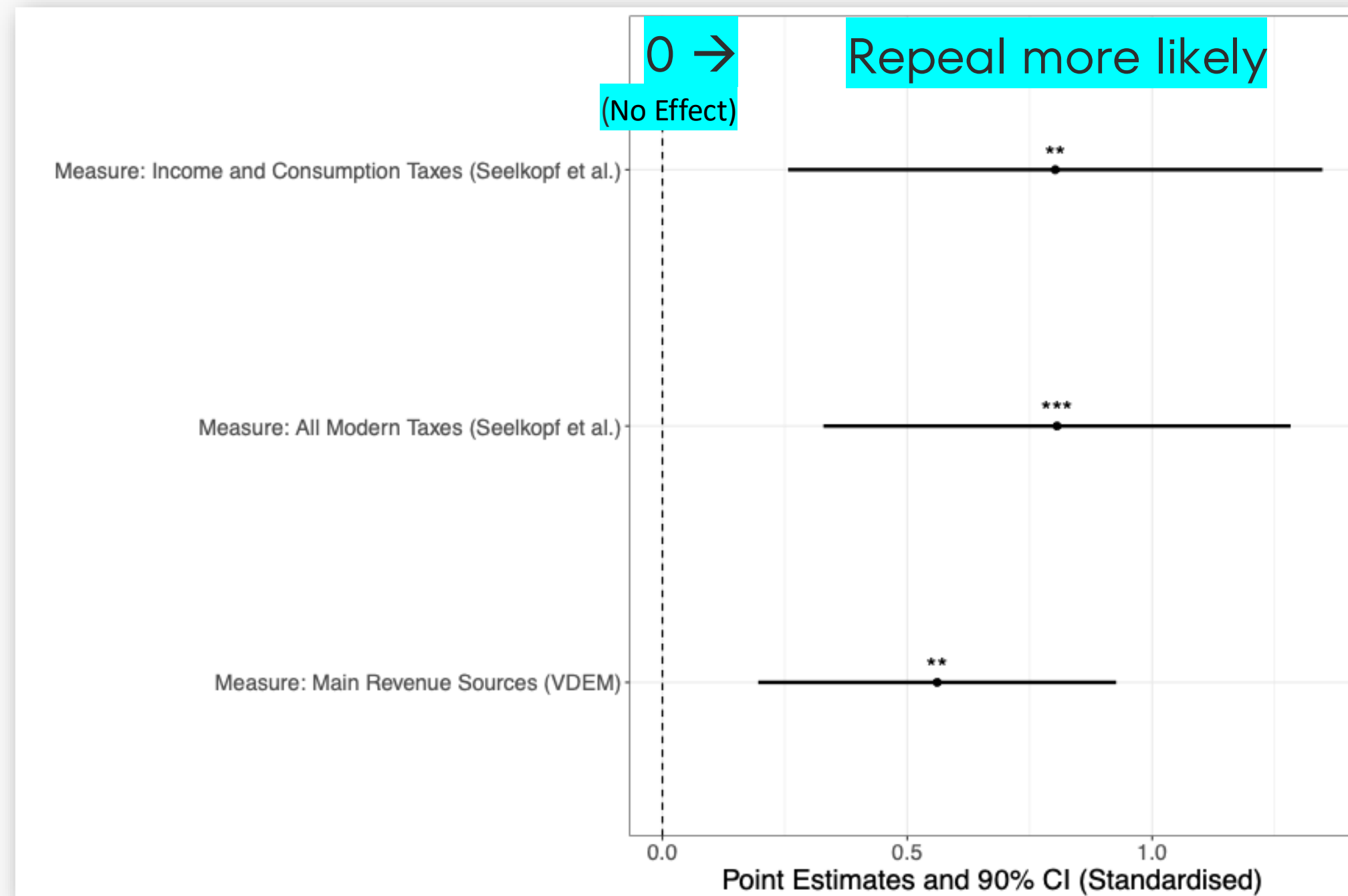
	Model 1	Model 2	Model 3
Major Modern Taxes	1.576*** (0.418)	1.546*** (0.417)	1.098** (0.453)
Democracy	-0.779** (0.356)	-0.763** (0.359)	-1.197*** (0.387)
War		0.199 (1.032)	0.764 (1.066)
Recession		0.266 (0.355)	0.384 (0.356)
Social Policy Intro		-15.602 (570.644)	-15.311 (568.308)
Tax Competition (Population log)			0.034 (0.127)
Time Since Intro (log)			-0.415 (0.348)
Life Expectancy			0.062** (0.025)
GDP pc (log)			-0.117 (0.277)
t	0.052 (0.041)	0.054 (0.041)	0.080 (0.052)
t2	-0.001 (0.001)	-0.001 (0.001)	-0.001* (0.001)
t3	0.000* (0.000)	0.000* (0.000)	0.000* (0.000)
AIC	464.157	457.395	452.416
BIC	504.515	517.931	539.697
Log Likelihood	-226.079	-219.697	-213.208
Deviance	452.157	439.395	426.416
Num. obs.	6163	6163	6087

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

Key Results

Robustness: Revenue Capacity

- Effect remains positive across different tax measures



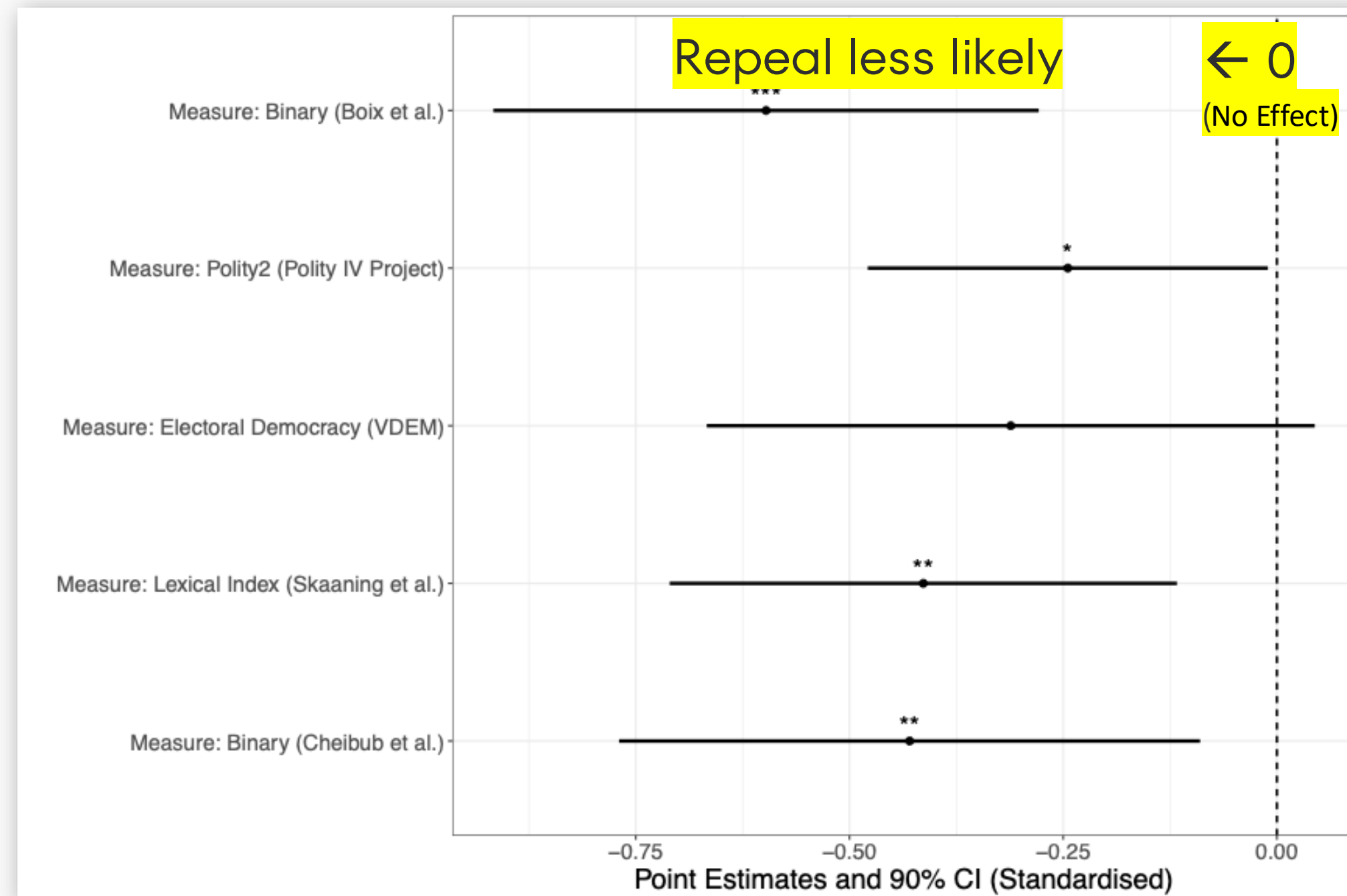
- Points to the right of 0 indicate higher likelihood of repeal
- Each point shows an estimated effect with 90% confidence intervals

Modern taxes ↑ , Repeal probability ↑

Key Results

Robustness: Democracy

- Effect remains consistent across democracy measures



- Points to the left of 0 indicate lower likelihood of repeal
- Each point shows an estimated effect with 90% confidence intervals

Democracy ↑ , repeal probability ↓

Limitation

Limitations of the Original Model

- Log-odds are hard to interpret
- Effects assumed to be independent
- No interaction between variables

My Contribution

Does Democracy Change the Effect?

Original Study

```
glm(y ~ other_tax + democracy + t + t2 + t3,  
    data = merge_full_2, family=binomial(link="logit"))
```

- Introduce interaction term
- ***Modern taxes X Democracy***
- Test moderation effect

My approach

```
glm(y ~ other_tax * democracy + controls + t + t2 + t3,  
    data = merge_full_2, family = binomial(link = "logit"))
```

Interaction Results

Suggestive but not Conclusive

- Interaction coefficient is negative
- Consistent with theory

Major Modern Taxes × Democracy	−0.417 (0.899)
--------------------------------	-------------------

Not statistically significant

Table 2: Determinants of Inheritance Tax Repeals (Interaction Model)

	Original (Model 3)	Interaction Model
Major Modern Taxes	1.098** (0.453)	1.227** (0.548)
Democracy	−1.197*** (0.387)	−0.429 (1.691)
Major Modern Taxes × Democracy		−0.417 (0.899)
War	0.764 (1.066)	0.756 (1.066)
Recession	0.384 (0.356)	0.382 (0.356)
Social Policy Intro	−15.311 (568.308)	−15.318 (569.734)
Tax Competition (Population log)	0.034 (0.127)	0.028 (0.127)
Time Since Intro (log)	−0.415 (0.348)	−0.430 (0.350)
Life Expectancy	0.062** (0.025)	0.061** (0.025)
GDP pc (log)	−0.117 (0.277)	−0.111 (0.277)
t^1	0.080 (0.052)	0.081 (0.053)
t^2	−0.001* (0.001)	−0.001* (0.001)
t^3	0.000* (0.000)	0.000* (0.000)
AIC	452.416	454.211
BIC	539.697	548.205
Log Likelihood	−213.208	−213.105
Deviance	426.416	426.211
Num. obs.	6087	6087

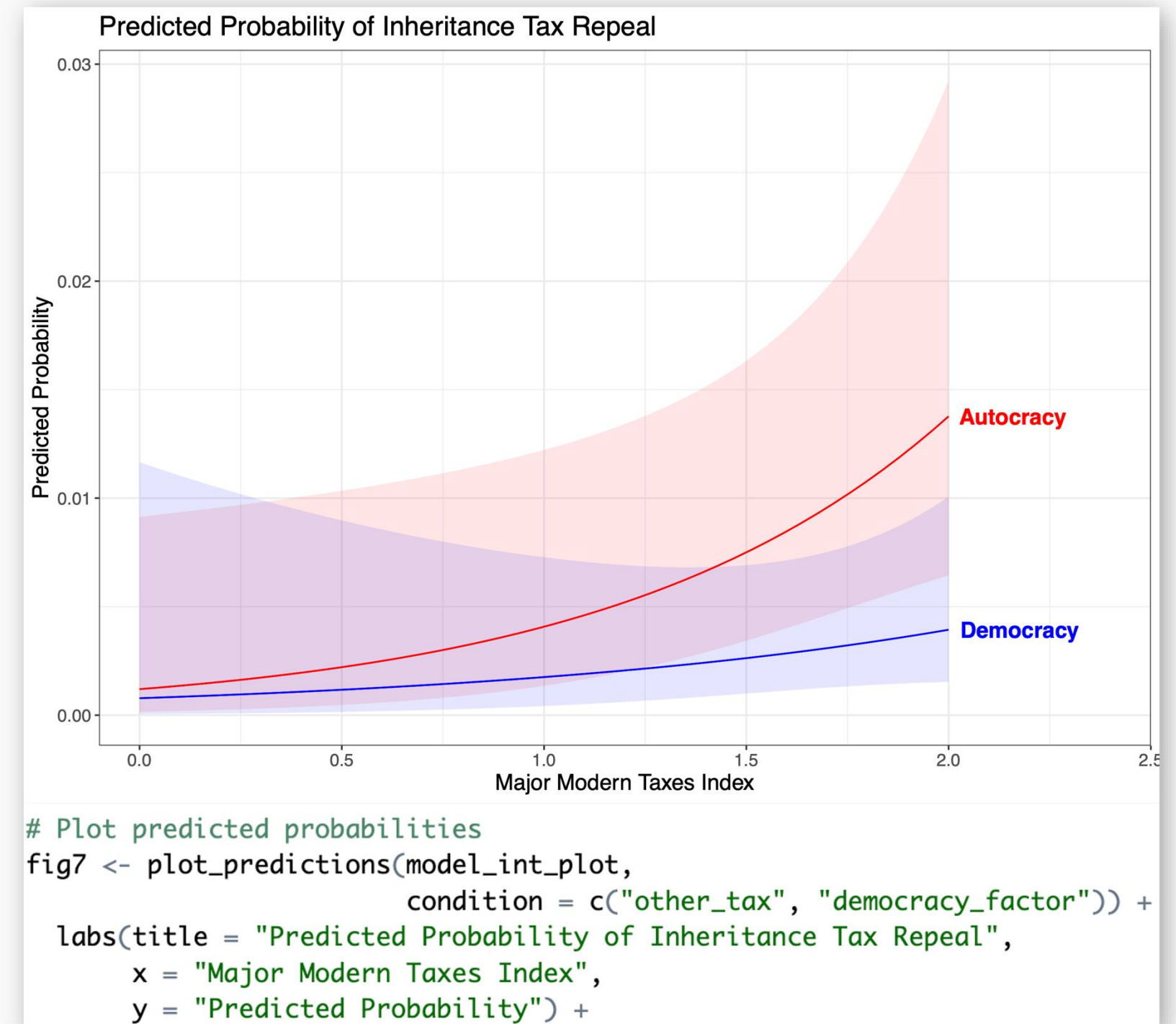
*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$

Key Figure

Predicted Probability of Repeal

- Autocracies: sharp increase
- Democracies: flatter trend
- Democracy may buffer fiscal pressure

Suggestive evidence only!



Conclusion

- Replication confirms fiscal explanation
- Democracy may moderate effect
- Evidence is inconclusive
- Rare events limit statistical power

